

Skill Gap and Structural Employment Constraints among Rural Youth in Bangladesh: An Empirical Assessment of Training Effectiveness and Labor Market Mismatch

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Abstract

This study examines the relationship between skill acquisition, training participation, and employment outcomes among rural youth in Bangladesh. Drawing on Human Capital Theory and structural labor market perspectives, the research analyzes primary survey data from 100 respondents aged 18–35 years. Using descriptive statistics and cross-tabulation techniques, the findings indicate that 22% of respondents are unemployed, while a substantial proportion remain engaged in unstable employment. Notably, unemployment among trained youth (30.4%) exceeds that of untrained youth (14.8%), raising concerns regarding the effectiveness of current training initiatives. Furthermore, 37% report complete skill mismatch and 34% report partial mismatch. The findings suggest that youth unemployment in rural Bangladesh reflects both individual skill gaps and structural labor market constraints. The study recommends demand-driven training reform, stronger employer linkage, and rural economic diversification.

Keywords: Youth unemployment; Skill mismatch; Rural labor market; Human Capital Theory; Bangladesh

1. Introduction

Youth unemployment has emerged as a persistent socio-economic challenge in developing economies, including Bangladesh. While access to education has expanded significantly over the past decades, employment generation has not grown at a comparable pace. As a result, many young individuals—particularly in rural areas—face unemployment, underemployment, or unstable income conditions. This phenomenon raises critical questions regarding the relationship between skill acquisition and labor market absorption capacity.

In rural Bangladesh, structural constraints such as limited industrial diversification, weak private sector expansion, and inadequate labor market linkage restrict employment opportunities. Although government and non-government organizations have introduced various skill development programs, their effectiveness in ensuring sustainable employment remains contested. This study investigates whether rural youth unemployment primarily reflects a deficit in individual skills or deeper structural constraints.

2. Literature Review and Theoretical Framework

Human Capital Theory (Becker, 1964) posits that investment in education and training enhances productivity and increases employment prospects. From this perspective, unemployment results from insufficient skill accumulation. However, structural labor market theory (Pissarides, 2000) emphasizes demand-side limitations, arguing that unemployment may persist despite adequate skills when job creation and industrial expansion remain limited.

Empirical research in South Asia indicates that technical and vocational education systems frequently operate in a supply-driven manner, with limited coordination between training institutions and employers. In Bangladesh, studies by the International Labour Organization and the World Bank have identified skill mismatch and weak industry linkage as central employment barriers. Rural youth encounter additional obstacles such as information asymmetry, financial limitations, and restricted mobility. This study integrates human capital and structural perspectives to examine employment dynamics among rural youth.

3. Methodology

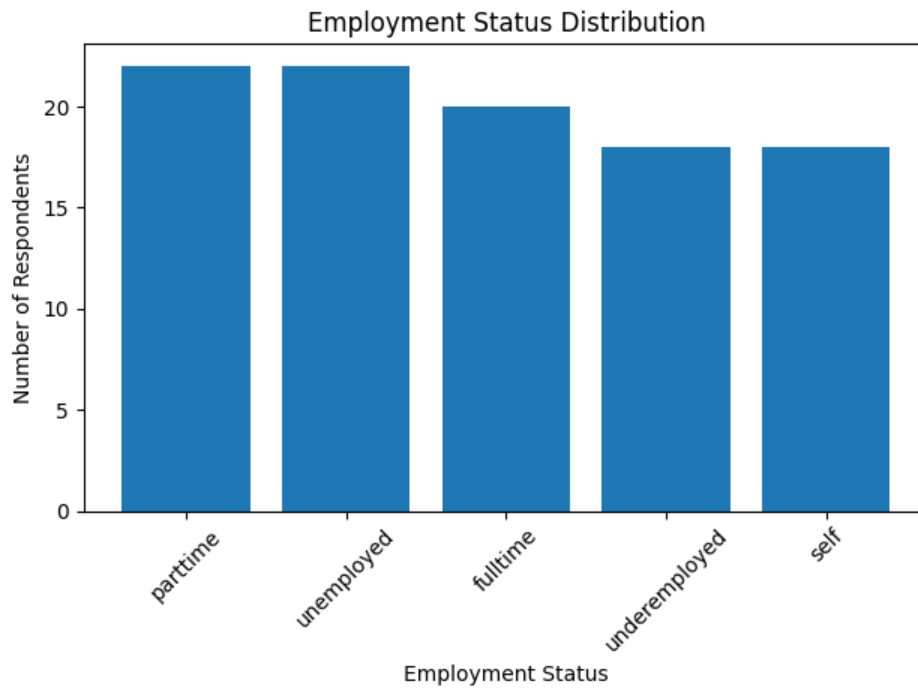
This study adopts a quantitative research design based on primary data collected through structured interviews with 100 rural youth respondents aged 18–35 years. A convenience sampling technique was used due to field accessibility constraints. The questionnaire included sections on demographic characteristics, education level, employment status, training participation, skill perception, and migration intention.

Data were analyzed using frequency distribution, percentage analysis, and cross-tabulation methods. Visual representation through bar charts was used to enhance analytical clarity. Although the sample size limits generalizability, the findings provide valuable exploratory insights into rural employment patterns.

4. Results

4.1 Employment Status Distribution

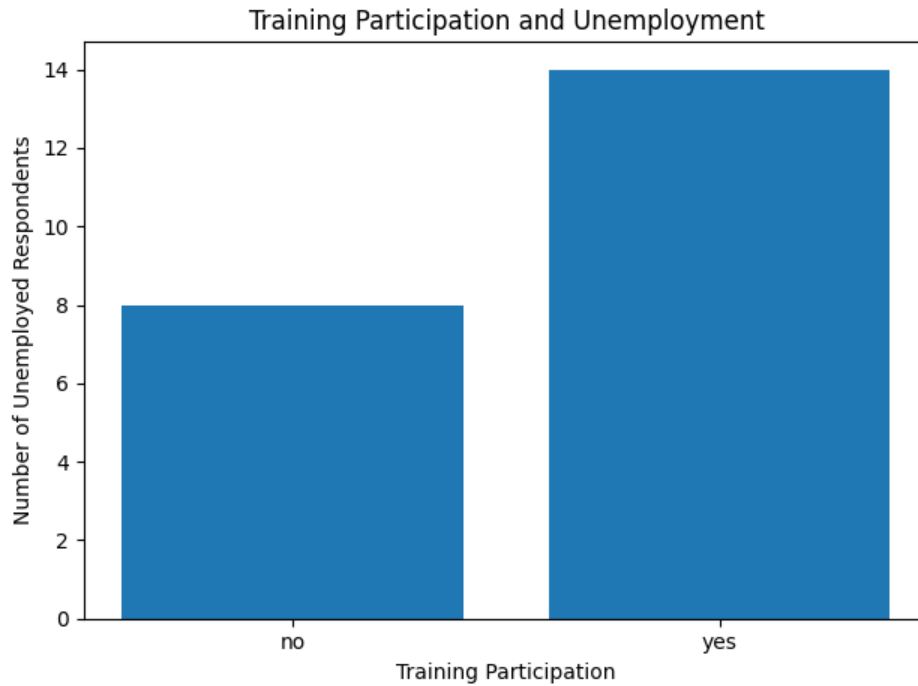
Figure 1 presents the distribution of employment status among respondents. The analysis indicates that 22% of respondents are unemployed, 22% engaged in part-time work, 20% in full-time employment, and 18% self-employed. The prevalence of part-time and underemployment suggests instability within the rural labor market.



Source: Author's Field Survey (2026).

4.2 Training Participation and Unemployment

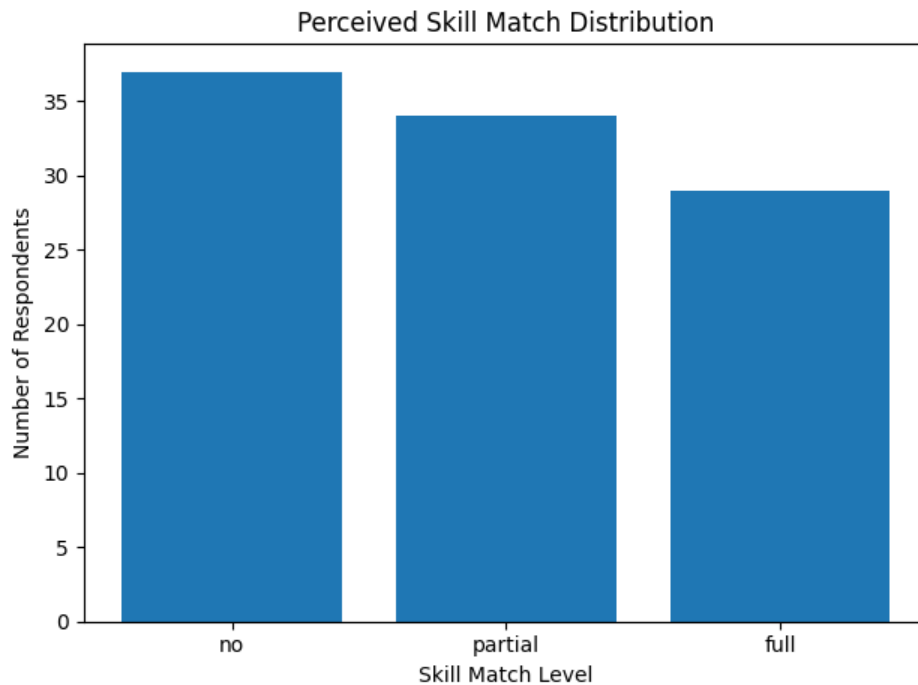
Cross-tabulation analysis demonstrates that 30.4% of trained respondents remain unemployed compared to 14.8% among those without training. This outcome challenges the assumption that skill training alone guarantees employment. It suggests deficiencies in labor market linkage and employer engagement.



Source: Author's Field Survey (2026).

4.3 Perceived Skill Mismatch

A total of 37% of respondents report complete mismatch between their acquired skills and job market demands, while 34% report partial mismatch. Only 29% perceive full alignment. This confirms the persistence of structural skill gaps.



Source: Author's Field Survey (2026).

5. Discussion

The findings highlight that rural youth unemployment is shaped by both individual capability and systemic economic constraints. The higher unemployment rate among trained youth suggests that existing training programs may not align with real market demand. From a structural perspective, limited rural industrial expansion restricts employment absorption capacity.

The results support a combined theoretical interpretation: while human capital accumulation remains important, structural labor market reforms are equally necessary. Effective employment generation requires coordination between training institutions, private sector employers, and regional development policy.

6. Conclusion

This study concludes that unemployment among rural youth in Bangladesh cannot be attributed solely to lack of skills. Despite participation in training programs, employment outcomes remain uncertain. Sustainable solutions require demand-driven training, stronger employer linkage, and rural economic diversification.

7. Policy Recommendations

1. Reform training curricula based on labor market demand.
2. Strengthen public–private partnerships for job placement.
3. Expand rural industrial investment initiatives.
4. Improve labor market information systems.
5. Promote entrepreneurship financing for youth.

8. References

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